CHAPTER 10

POLITICS OF PLANNED DEVELOPMENT

CHAPTER ESSENCE AT A GLANCE:
Examine the political debates surrounding India's developmental paths, the establishment and machinery of the Planning Commission, the contrasting strategies of the First (agrarian focus) and Second (Mahalanobis heavy industrialization) Five Year Plans, the controversies over agriculture versus industry, the renowned Kerala Model of social development, and the transformative socio-economic impacts of the Green and White Revolutions.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Institutional Planning Architecture:** Established in March 1950 via a cabinet resolution, the Planning Commission steered state-led economic development under a mixed economy model, replaced in January 2015 by NITI Aayog.

• **First versus Second Plan Strategy:** The First Five Year Plan (1951 to 1956, drafted by K.N. Raj) prioritized agrarian rejuvenation and massive multi-purpose dams; the Second Plan (1956 to 1961, formulated by P.C. Mahalanobis) pivoted toward rapid heavy industrialization and public sector command.

• **The Kerala Model of Development:** Demonstrated that high levels of social welfare, near-universal literacy, low infant mortality, high life expectancy, and equitable land distribution could be achieved despite low per capita industrial output through participatory grassroots mobilization.

• **Green and White Agricultural Revolutions:** Introduced high-yielding variety (HYV) seeds, subsidized fertilizers, and assured irrigation to achieve grain self-sufficiency (Green Revolution), alongside Verghese Kurien's cooperative dairy model under Operation Flood (White Revolution).

ESSENTIAL CONSTITUTIONAL ARTICLES & THEORIES

$$\text{Planning Commission (1950)} \iff \text{Advisory Body} \rightarrow \text{Five Year Plan Architecture (NITI Aayog 2015)}$$

Institutional Vehicle of State-Led Modernization

$$\text{Plan Strategy Duality} \iff \frac{\text{First Plan (1951-1956): Agriculture, Irrigation (K.N. Raj)}}{\text{Second Plan (1956-1961): Heavy Industry, Public Sector (P.C. Mahalanobis)}}$$

Structural Paradigm Shift between Early Five Year Plans

$$\text{The Kerala Model} \iff \{\text{Universal Literacy}, \quad \text{Land Reforms}, \quad \text{Public Health}, \quad \text{High HDI}\}$$

Social Development Paradigm Decoupled from High Industrial Output

$$\text{Green Revolution Formula} \iff \text{HYV Seeds} + \text{Chemical Fertilizers} + \text{Assured Irrigation} \rightarrow \text{Food Self-Sufficiency}$$

Technological Package Overcoming Chronic Food Import Dependence

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Remember that the Planning Commission was not created by the Constitution nor by an Act of Parliament; it was established by an executive Cabinet Resolution in March 1950.

• **Alert:** Do not state that the Green Revolution benefited all Indian farmers equally; it was concentrated heavily in Punjab, Haryana, and western Uttar Pradesh, exacerbating regional economic disparities.

• **Alert:** Avoid writing that the Kerala Model was founded purely on industrial manufacturing; its hallmark was prioritizing human development investments (health, education, land reform, public distribution) over heavy industrialization.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. When was the Planning Commission set up in India? Name the institution that replaced it on 1 January 2015. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Setting Up Date:** Set up in March 1950 by a simple resolution of the Union Cabinet. **[1 Mark]**

• **Successor Institution:** NITI Aayog (National Institution for Transforming India), established on 1 January 2015. **[1 Mark]**

2. What was 'Operation Flood' and who is widely regarded as the 'Milkman of India'? [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Operation Flood:** A rural development dairy program launched in 1970 that organized milk producers into nationwide cooperatives to eliminate middlemen and boost milk production. **[1 Mark]**

• **Milkman of India:** Dr. Verghese Kurien, who founded the Gujarat Cooperative Milk Marketing Federation (Amul). **[1 Mark]**

3. Differentiate between the primary objectives and approaches of the First Five Year Plan and the Second Five Year Plan. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **First Plan Focus (1951 to 1956):** Drafted under young economist K.N. Raj, it focused on the agrarian sector, large-scale irrigation projects (Bhakra Nangal dam), land reforms, and advised India to 'hasten slowly'. **[1.5 Marks]**

• **Second Plan Focus (1956 to 1961):** Formulated by P.C. Mahalanobis, it stressed rapid industrialization, development of heavy capital goods industries, import substitution tariffs, and public sector dominance. **[1.5 Marks]**

4. Explain the major debate between agriculture and industry in the early planning process of India. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Agrarian Critique:** Leaders like J.C. Kumarappa (proponent of Gandhian Economy of Permanence) and Chaudhary Charan Singh argued that neglecting agriculture in favour of industry impoverished rural villages. **[1.5 Marks]**

• **Industrialist Defense:** Planners argued that without developing heavy industries like steel, chemicals, and machine tools, India could never break out of colonial dependency or sustain modern farming technology. **[1.5 Marks]**

5. Describe three distinctive features of the 'Kerala Model' of development. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **High Human Development Indicators:** Achieved near 100 percent literacy, low infant and maternal mortality, high life expectancy, and favourable sex ratio comparable to developed nations. **[1 Mark]**

• **Radical Land Reforms:** Enacted comprehensive land reform legislation conferring ownership rights to tenant farmers and agricultural labourers, reducing rural inequality. **[1 Mark]**

• **Decentralized Grassroots Planning:** Pioneered participatory local self-governance through the People's Plan Campaign, devolving 35 to 40 percent of state development funds directly to local panchayats. **[1 Mark]**

6. Examine the positive and negative socio-political consequences of the Green Revolution in India. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **National Food Self-Sufficiency:** Dramatic surge in wheat and rice production eradicated chronic famine threats, transforming India from a PL-480 food-import dependent nation to a food exporter. **[1 Mark]**

• **Regional Disparities:** Benefits were heavily skewed toward well-irrigated states like Punjab, Haryana, and western Uttar Pradesh, leaving rain-fed eastern and southern drylands economically marginalized. **[1 Mark]**

• **Sharpening of Class Divides:** Rich landowners with capital to invest in tubewells, chemical inputs, and tractors prospered, while small tenant farmers faced debt or marginalization. **[1 Mark]**

• **Emergence of Dominant Agrarian Castes:** Created powerful, politically assertive middle-peasant caste groups (such as Jats and Yadavs) who became key actors in state and national politics. **[1 Mark]**

7. Explain why India adopted a 'Mixed Economy' model instead of purely capitalist or purely socialist systems. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Avoiding Capitalist Injustices:** The capitalist model of unregulated private ownership was rejected because it risked exacerbating poverty, neglecting public welfare, and ignoring basic industrial infrastructure. **[1 Mark]**

• **Avoiding Soviet Authoritarian Rigidity:** The socialist model of total state monopoly was tempered to protect individual democratic freedoms, property rights, and private business initiative. **[1 Mark]**

• **Complementary Coexistence:** The state controlled commanding heights (defense, heavy industries, railways, banking), while agriculture, consumer goods manufacturing, and retail trade were retained in the private sector. **[1 Mark]**